

**BEFORE THE
FEDERAL MARITIME COMMISSION**

ORANGE AVENUE EXPRESS, INC.	)	
	)	
<i>Complainant,</i>	)	DOCKET NO. 21-10
	)	
HAPAG-LLOYD AG	)	
<i>Respondent.</i>	)	
	)	

ANSWER OF RESPONDENT HAPAG-LLOYD AG

Respondent Hapag-Lloyd AG, through the undersigned attorneys, hereby submits this Answer to the complaint in the above-captioned docket.

1. Complainant, Orange Avenue Express, Inc. is a California corporation that is operating as a licensed motor carrier with a place of business at 2300 W. Willow St., Long Beach, California 90810. Complainant may be contacted through counsel, Stephen M. Uthoff at suthoff@uthofflaw.com.

Respondent lacks sufficient information upon which to admit or deny the allegations contained in paragraph 1 of the complaint.

2. Respondent, Hapag-Lloyd, AG is a corporation organized under laws of Germany. Hapag's corporate headquarters is located at Ballindamm 25, D-20095, Hamburg, Germany.

Admitted, except Hapag's name is Hapag-Lloyd AG.

3. Hapag does business in the United States through its agent, Hapag Lloyd (America) LLC, ("Hapag America") a Delaware Limited Liability Company, with its principal place of business at 399 Hoes Lane, Piscataway, New Jersey, 08854. Hapag America is also qualified to do business in the state of California with an office at 555 W. Ocean Blvd., Suite 300, Long Beach, CA 90802.

Admitted.

4. At all times pertinent to this complaint, Hapag was and is an ocean common carrier as defined by the act at 46 USC §§40102(7) and (18) and is identified as Federal Maritime Commission (the "Commission") organization number 005980.

Admitted.

5. Complainant understands the relevant email address for Hapag is c/o Jeff.Blaschko@hlag.com Mr. Blaschko is the manager of terminal operations for Hapag in Long Beach, CA. Other publicly available email addresses are Uffe Ostergaard, President of Hapag America Uffe.Ostergaard@hlag.com and Thomas Engel, Sr. VP of Operations for Hapag America, Thomas.Engel@hlag.com.

Respondent denies that the relevant email address for the company is that of Mr. Blaschko. The remainder of paragraph 5 is admitted.

6. The Commission has subject matter jurisdiction over this Complaint pursuant to the Act, 46 USC §40101 et. seq.

Paragraph 6 states a conclusion of law which requires no response. To the extent a response is required, Respondent denies the allegation of paragraph 6.

7. The Commission has personal jurisdiction over Hapag as an ocean common carrier as contemplated by the Act as defined in 46 USC §§40102(7) and (18).

Paragraph 7 states a conclusion of law which requires no response. To the extent a response is required, Respondent denies the allegation of paragraph 7.

8. This Complaint seeks reparations, equitable and other relief for alleged violations of 46 USC §41102(c) by Respondent's failure to establish, observe, and enforce just and reasonable practices related to receiving, handling, storing and delivering property. Complainant also alleges certain conduct by Respondent to be an unreasonable preference or practice per 46 U.S.C. §41104(a)(3) and (8) and are independent violations of the Act.

The Complaint speaks for itself, and this allegation requires no response. To the extent a response is required, Respondent denies the allegations of paragraph 8.

9. OAE is a motor carrier with operations at Long Beach and Oakland, California.

Respondent lacks sufficient information to admit or deny.

10. As part of its operations in Long Beach, California OAE will dray full and empty containers to and from various terminals located in the Ports of Los Angeles and Long Beach.

Admit that OAE is a motor carrier that drays full and empty containers. Respondent lacks sufficient information to admit or deny the more detailed allegations of paragraph 10.

11. As part of its Long Beach drayage operations, OAE is routinely required to pick up full imported 40 foot refrigerated¹ containers from and return empty refer containers to Hapag designated terminal(s). Hapag uses several terminals in the Long Beach/Los Angeles port complex to handle its cargo and empties, such as Trapac Terminal, Total Terminals, Inc., Yusen Terminals, Inc., International Transportation Service, Inc., and SSA Terminal at Pier A.

Admitted, except that the word “refer” in footnote #1 (and elsewhere in the complaint) should read “reefer.”

12. OAE and Hapag are parties to the Uniform Intermodal Interchange and Facilities Access Agreement ("UIIA"). Hapag participates in the UIIA through Hapag America.²

Respondent admits that OAE and Hapag are parties to the UIIA and that Hapag participates in the UIIA through Hapag America. Footnote #2 states a conclusion of law, which Respondent does not admit.

13. Under the UIIA addendum applicable to Hapag, Hapag allows two days free time to return empty refer containers after OAE has pulled full loads from Hapag's terminals. Thereafter, per the Hapag Addendum to the UIIA, Hapag charges \$400.00 per day detention for each day the empty container is not returned to Hapag beyond the free time allowed.

The first sentence is admitted, except that Hapag denies the marine terminals are owned, operated or controlled by it. The second sentence is admitted, except that Hapag denies that it charges detention for weekends and holidays with respect to equipment in California.

14. Hapag may have further agreements directly with shippers, consignees, beneficial cargo owners or other parties which extend the amount of free time allowed or that may change the amount of detention charged on a daily basis. OAE may benefit from such agreements.

The first sentence is admitted. Hapag lacks sufficient information to admit or deny the second sentence.

15. The cargo picked up from Hapag by OAE is generally considered overweight and must be hauled pursuant to permits issued by local and state jurisdictions on specialized chassis owned or controlled by OAE.

Hapag lacks sufficient information to admit or deny.

16. In relation to the complaint herein, from on or about mid-August 2021 OAE in its ordinary course of business, pulled full 40' refer containers from Hapag terminals to its yard in Long Beach, California which is shared by Three Rivers Trucking, Inc ("TRT") which operates a transload

¹ Commonly referred to as a "refer(s)" or "refer container".

² "Ocean carrier practices, whether incorporated in the UIIA, or not, are within the Commission's purview under section 41102(c))." Final Rule, 85 FR at 29649

facility at the same location of OAE and Three Harbors Services, Inc. ("THS") which operates an equipment depot at that location. Ordinarily, upon arrival, since the containers are overweight, the Hapag containers are devanned and transloaded in whole or in part by TRT into other conveyances for delivery to OAE customers. As such the empty Hapag empty containers are routinely available for return to Hapag within the 2 days free time as requested under the UIIA. OAE in the regular course would attempt to return the empty refer containers to Hapag within two days from the date the containers had been interchanged out full from Hapag terminals.³

Respondent admits that OAE transports Hapag containers, but lacks sufficient information to admit or deny the remainder of this paragraph.

17. Initially, Hapag, on a daily basis would post available location(s) for return of the empty refer containers. However, as the lack of locations to return empty containers became common place, for Los Angeles and Long Beach only, Hapag instituted a system whereby motor carriers such as OAE would have to send an email to Hapag in order to get a daily report of empty return location availability. A sample of an email requesting daily empty return locations and the response is attached as Exhibit A.

Respondent admits that at one point in time it posted return locations on the internet. Respondent denies the second sentence. The third sentence requires no response, as the documents in Exhibit A speak for themselves.

18. The Hapag email address was intended to be an "auto-reply" type of email, where upon sending a request to Hapag (at LGBEMPTIES@hlag.com), a response would be automatically generated. However for unknown reasons, Hapag deactivated the automated response. After deactivating the automated response, Hapag would manually respond to the email inquiry at its discretion or not at all.

The first sentence is admitted. The second and third sentences are denied.

19. Hapag would often reply that no locations were accepting empty refer containers or that empty returns were only allowed on a "dual" transaction basis. A dual transaction requires the motor carrier to pick up a full container at the same time it dropped off an empty container. If a motor carrier does not have a corresponding full pick up at the terminal it may not drop off the empty. In its emailed matrix, Hapag declared detention would not be waived if a dual transaction location was available.

The first sentence is denied. The second, third and fourth sentences are admitted.

20. If Hapag actually posted or emailed availability of an empty return location, before an empty container could be returned, the motor carrier must then make an appointment with the designated terminal. When OAE attempted to secure appointments to return the empty refer containers, OAE would often be notified that all appointments had been filled or that the terminal

³ Exhibit C attached hereto, in addition to showing the detention charged by Hapag, also shows how OAE in early August consistently returned containers to Hapag during allowed free time.

would not accept empty containers, contrary to Hapag's designation. OAE would attempt to notify Hapag that notwithstanding its identification of a location that would accept empties, no appointments were available. When Hapag was notified that no appointments were available, Hapag would reply that it had no control over the terminal appointment system. Further after repeated requests, Hapag failed to provide an overall solution to the daily refusal to accept empty refer container returns or lack of appointments. A sample of the notice, lack of appointment and response by Hapag is attached as Exhibit B.

The first sentence is admitted in that it is the responsibility of the motor carrier to secure an appointment with a marine terminal when such terminal requires appointments to return empty equipment. Hapag lacks sufficient information to admit or deny the second and third sentences. The fourth and fifth sentences are denied. The final sentence requires no response, as the documents speak for themselves.

21. Whenever possible, OAE took advantage of available regular or "dual" gate appointments. However, because of the continuous lack of Hapag's empty return locations, empty refer containers began accumulating at the OAE yard. Since the full containers were originally pulled as overweight containers on specialized tri-axle chassis, many empties remained on the specialized OAE owned chassis for lengthy periods of time.

Respondent lacks sufficient information to admit or deny.

22. At one point OAE's operations were threatened to be shut down because of the lack of available specialized chassis for new full loads, since the specialized chassis were still occupied by Hapag empty refer containers. Because there was no indication by Hapag on when the empties were going to be accepted, OAE was forced to seek the assistance of THS to remove all Hapag refer containers from the specialized chassis and stack the empty Hapag containers in the yard. At one point, OAE had approximately 70 empty Hapag refer containers awaiting return authorization and availability.

Respondent lacks sufficient information to admit or deny.

23. Although stacking the containers was an operational necessity, it created other issues and expense for OAE. Once the empties were taken off of chassis and stacked, when an empty location and appointment became available, OAE would have to secure a chassis, and incur extra time, labor and expense in order to re-mount the empty to a chassis to have it delivered to a terminal.

Respondent lacks sufficient information to admit or deny the allegations of paragraph 23.

24. Despite its best efforts to return empty containers because of the lack of available appointments, dual transactions or the volume of empty, decked refer containers at its facility caused by Hapag's past actions, it was impossible to return all empty containers at once.

Respondent lacks sufficient information to admit or deny.

25. Hapag would charge detention in an unreasonable, arbitrary and capricious manner. To illustrate: 1) Hapag would issue its daily empty return availability; 2) if no empty return locations were available, Hapag waived detention charges for that day only; 3) if any locations were identified for empty returns (either dual or regular) Hapag advised it will not waive detention charges regardless of whether a dual transaction existed or if appointments were available at the terminal; 4) OAE would then determine if appointments are actually available for the returns; 5) if appointments were available OAE would return empties to the extent it reasonably could, given that the containers were no longer on chassis or if dual appointments were feasible; 6) in addition to the lack of dual transactions or lack of appointments, OAE became potentially responsible for detention on any containers in the stack at its yard (caused by Hapag's prior refusal to accept empties) that could not be returned if operationally it was impossible to return the containers. Thus Hapag would still charge daily detention at \$400 per day, per container even if the empty, in reality, could not be returned through the actions of Hapag or its designated terminals. To be clear, as stated in its daily empty availability matrix, Hapag has made it clear that detention charges will not be waived for any days were they have designated for dual or regular empty transactions even if no appointments were available at the terminal or if OAE lacked the ability to take advantage of a dual appointment (see Exhibits A and B).

The first sentence is denied. In the second sentence, sub-item (1) is admitted; sub-items (2), (3) and (6) are denied, and Respondent lacks sufficient information to admit or deny sub-items (4) and (5). The third and fourth sentences are denied.

26. Working diligently with the availability allowed by Hapag, OAE continues to return the empties it had and has on hand, but in the meantime, OAE has received substantial detention invoices from Hapag (see Exhibit C) which have been disputed without success. Also OAE anticipates this will be a continuing issue as full loads are scheduled to arrive for OAE customers and Hapag has not solved its lack of empty return availability contrary to its duty to provide adequate ocean terminal space and throughput.

Denied.

27. Apart from monitoring available slots to return empties through publicly available information, OAE also sent further inquiries directly to Hapag America seeking a solution to return empties to Hapag without result.

Respondent lacks sufficient information to admit or deny.

28. Attached as Exhibit C is a list of empty refer containers that were refused return locations by Hapag, or were otherwise forced to be stored at OAE as of November 1, 2021. Exhibit C lists the date the full container was interchanged out of the Hapag designated terminal, the last free day and when the container was ultimately accepted by Hapag or if it remains in OAE possession. Exhibit C also includes the amount of unreasonable detention that has been charged by Hapag on those containers. OAE contends that it would have been able to return containers to Hapag during free time but for Hapag and its terminal's actions. To date all disputes by OAE have been denied by Hapag.

The contents of Exhibit C speak for themselves, but Respondent does not admit the accuracy of any information contained therein. Respondent denies any detention was unreasonable. Respondent denies the fourth sentence. Respondent admits that all disputes were disapproved, but denies that all charges that were disputed and further denies that disapproval of disputes can be interpreted to mean that charges were not waived.

29. The number of empty containers in the possession of OAE fluctuates. For example, as of November 1, 2021, OAE was still in possession of 17 Hapag empty refer containers. That number will be dynamic during the course of this proceeding as OAE pulls full containers for its customers and returns empty containers to Hapag.

The first and third sentences are admitted. Respondent lacks sufficient information to admit or deny the second sentence.

30. Instead of adequately allowing for opportunities to return empty refer containers, Hapag involuntarily forced OAE to act as a storage facility for Hapag empty containers without compensation. Such actions not only should have incurred storage and related charges for the containers for Hapag's account, it also caused OAE to assess storage, chassis use charges, flip charges (to remove and then re-mount Hapag containers onto chassis) to its customers, and interfered with OAE and its customers since OAE was in the uncomfortable position of notifying its customers it could no longer pull full loads of Hapag cargo because empties could not be returned. Hapag's actions also caused OAE to reject business because of the lack of space and available equipment being used by Hapag empty containers and the interference with the overall operations of OAE, since, *inter alia*, it unreasonably has to be "on call" to be ready if Hapag suddenly agrees to accept empty containers. Investigation and discovery is continuing as to further damages caused and ongoing damages being suffered by OAE.

The first two sentences are denied. Respondent lacks sufficient information to admit or deny the third sentence. The fourth sentence requires no response.

31. As more evidence of its intentional custom and practice of refusing empty returns, Hapag's refusal to accept empty refer containers is not limited to the Ports of Long Beach and Los Angeles. Blanket refusals to accept empty refer containers for at least one of its designated terminals in the Port of Oakland as well has also been publicized (see Exhibit D).

The first sentence is denied. Exhibit D speaks for itself, and Respondent denies that it reflects a custom or practice of Respondent.

32. Without any relief in sight, on October 4, 2021, OAE, through counsel, send Hapag a demand for payment of container storage and chassis usage charges and a formal request to cease and desist its violations of the Act. To date OAE has not received a response.

Respondent admits that it received an October 4, 2021 letter from OAE counsel, and admits a formal, written response was not sent. The remainder of the allegations are denied.

33. To exacerbate this problem, when an empty is allowed to be terminated, turn times at Hapag terminals have exponentially increased. Whereas a turn would normally take 1-2 hours, it now can take up to 6 hours round trip to return a single empty container.

Respondent lacks sufficient information to admit or deny.

34. OAE has and continues to dispute the detention charges with Hapag. As of the date of this Complaint, Hapag has issued detention invoices in the minimum amount of \$258,000.00 to OAE in violation of the Act (see Exhibit C).

The first sentence is admitted. Respondent admits the invoices listed in Exhibit C total \$258,000, but deny such invoices violate the Act.

35. In reference to the aforementioned plead facts and recitals Complainant further alleges the following violations of the Act.

This paragraph requires no response.

36. Hapag is a common carrier by water as defined by the Act.

Denied on the grounds the Act does not define the term "common carrier by water."

37. The Act at 46 USC §41102(c) provides: "**(c) Practices in handling property.** A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

This paragraph requires no response, as the Act speaks for itself.

38. The return of empty containers to a common carrier relates to or is connected with the receiving, handling, storing, or delivering property, as contemplated by the Act (see 46 C.F.R. §565.5(c)(ii)). An ocean carrier such as Hapag is responsible for having adequate terminal facilities see 85 FR 29638, 29650.

This paragraph requires no response, as the Commission's regulations and the Federal Register notice speak for themselves.

39. The Commission has adopted interpretive rule 46 C.F.R. §565.5 to help identify unreasonable practices as contemplated by 46 USC §41102(c). It provides in its relevant part:

"(c) Incentive principle—

(1) General. In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and

detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

(2) Particular applications of incentive principle—...

(ii) Empty container return. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.

(d) Demurrage and detention policies. The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements. ...

(f) Non-Preclusion. Nothing in this rule precludes the Commission from considering factors, arguments, and evidence in addition to those specifically listed in this rule."

Respondent denies the first sentence on the grounds that it mischaracterizes the purpose of the so-called interpretative rule. The second sentence requires no response, as the regulations speak for themselves.

40. The above factual recitals establish that Hapag's practices have impacted freight fluidity and Hapag's unreasonable practices and policies have and continue to give rise to the imposition of detention charges upon OAE when empty containers cannot be returned. Examples include:

a. Where dual transactions are required to return an empty container. OAE submits this is an unreasonable practice regardless if OAE can take advantage of such appointments⁴. In the alternative, if a dual transaction was not available to OAE, no detention should be charged. Further requiring a dual transaction to return an empty without penalty of detention, in addition to violating 46 U.S.C. §41102(c), constitutes an unreasonable preference or practice per 46 U.S.C. §41104(a)(3) and (8) and thus is an independent violation of the Act.

b. Where Hapag designates a terminal for return of empties but the terminal itself has no appointment (or an inadequate amount of appointments) to allow a return of an empty.

c. Where Hapag creates operational difficulties for OAE whereby it is required to deck Hapag's empty containers. Thereafter if a single empty return is available, there is no

⁴ As noted by the Commission at 85 FR 29638, 29655 "The Commission is particularly concerned about the reasonableness of dual move requirements, or more specifically, an ocean carrier imposing detention when a trucker's inability to return a container within free time is due to it not being able to satisfy a dual move requirement."

consideration if operationally the empty can be returned, including the requirement to have chassis available, to the container placed on a chassis and to meet any appointment. Further the number of containers refused by Hapag that had to be stored at OAE without compensation, should be taken into account when determining the ability to return only a limited number at any one time.

d. Hapag's refusal to accept empties ultimately required OAE to decline to pull subsequent full Hapag load, thus further decelerating cargo fluidity.

Paragraph 40 states conclusions of law which require no response. To the extent a response is required, Respondent denies the allegations of paragraph 40.

41. Hapag's actions also caused additional injury to OAE including; 1) Hapag created operational difficulties for OAE whereby it is required to maintain Hapag empties on its specialized chassis for unreasonable amounts of time and/or stack Hapag empty containers in its yard; 2) OAE has been forced to invoice its own customers for storage, flipping, chassis use and re-delivery fees where applicable; 3) has generally interfered with the efficient operations of OAE; 4) has required OAE to refuse in some instances to pull Hapag full loads of its customer's imports since it has no way to terminate the empty container. This injury has several facets. It harms the relationship with its customer, it has direct financial impact to OAE because it loses the ability to pull that full load and has a cascading effect of reducing the dual transactions available to it to return empty containers on hand; 5) resulted in OAE from accepting unrelated business; 6) required OAE to act as an involuntary, uncompensated storage yard for Hapag equipment.

Denied.

42. The above recitals support an award of reparations under 46 USC §41102(c) as further interpreted by 46 C.F.R. §545.4 and 46 U.S.C. §41104(a)(3) and (8).

Paragraph 42 states a conclusion of law which requires no response. To the extent a response is required, Respondent denies the allegation of paragraph 42.

43. Hapag's violations of the Act have caused the following damages to Complainant.

- a. The cost of storage of Hapag's empty containers; and
- b. The chassis use fees associated with the storage of Hapag's empty containers; and
- c. To the extent applicable, the cost to flip Hapag's empty containers to and from the chassis when necessary; and
- d. detention charges assessed against OAE; and
- e. re-delivery charges; and
- f. damages associated with the interference of existing contracts between OAE and its customers; and
- g. damages associated with the inability to accept certain work because of the lack of space and/or equipment caused by the empty Hapag containers; and

- h. damages associated with the disruption of the operations of OAE as a result of Hapag's refusal to accept its empty containers, and
- i. investigation as to other damages suffered by OAE is ongoing.

Paragraph 43 states conclusions of law which require no response. To the extent a response is required, Respondent denies the allegations of paragraph 43.

44. In addition to the damages suffered by OAE, based upon information and belief, the violations committed by Hapag have also effected similarly situated motor carriers and members of the public.

Paragraph 44 states a conclusion of law which requires no response. To the extent a response is required, Respondent denies the allegations of paragraph 44.

45. Detention charges assessed by Hapag are included in the amounts listed in Exhibit C but continue to accrue. Investigation and discovery are continuing as to all damages. OAE reserves the right to provide proof of all damages for the purposed of reparations pursuant to 46 C.F.R. §§502.251 et. seq.

With respect to the first sentence, Hapag admits that Exhibit C purports to show detention charges, but does not admit the accuracy of the data contained therein. Hapag lacks sufficient information to admit or deny the second sentence. The third sentence states a conclusion of law which requires not response but, to the extent a response is required, Respondent denies the allegation of the third sentence.

Affirmative Defenses

1. The Commission lacks subject matter jurisdiction.
2. Any inability to return empty containers within free time was due in whole or in part to the acts and/or omissions of the motor carrier and/or the cargo interest(s).
3. Respondent's conduct was reasonable in light of the totality of the circumstances.

WHEREFORE, Respondent pray that after due oral hearing to be conducted in Washington, D.C., an order be made dismissing the Order.

Respectfully submitted,

By: 
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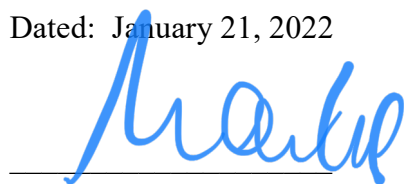
Dated: January 21, 2022

VERIFICATION OF RESPONDENT HAPAG-LLOYD AG

Thomas Mansfeld hereby verifies as follows:

1. I am General Counsel of Hapag-Lloyd AG.
2. I am authorized to make this verification on behalf of Hapag-Lloyd AG.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: January 21, 2022



Name: Thomas Mansfeld

Title: General Counsel

VERIFICATION OF RESPONDENT HAPAG-LLOYD AG

Björn Tschentschel hereby verifies as follows:

1. I am Senior Director Tax of Hapag-Lloyd AG.
2. I am authorized to make this verification on behalf of Hapag-Lloyd AG.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: January 21, 2022

A handwritten signature in black ink, appearing to read 'B. Tschentschel', written over a horizontal line.

Name: Björn Tschentschel

Title: Senior Director Tax

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 21st day of January, 2022, a true and correct copy of the foregoing Answer was served via electronic mail on:

Stephen M. Uthoff
The Uthoff Law Corporation
suthoff@uthofflaw.com



Wayne R. Rohde